

volatility of an individual security to its base factor. He gave his volatility measure a name: beta factor.

A year later, Sharpe introduced a far-reaching concept called the capital asset pricing model (CAPM), a direct extension of his single-factor model for composing efficient portfolios. CAPM says that stocks carry two distinct risks. One risk is simply the risk of being in the market, which Sharpe called *systemic risk*. Systemic risk is “beta” and it cannot be diversified away. The second type, called *unsystemic risk*, is the risk specific to a company’s economic position. Unlike systemic risk, unsystemic risk can be diversified away by simply adding different stocks to the portfolio.

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In the space of one decade, three academicians had defined important elements of what would later be called modern portfolio theory: Markowitz with his idea that the proper reward-risk balance depends on diversification, Fama with his theory of the efficient market, and Sharpe with his definition of risk. Thus for the first time in history, our financial destiny rested not with Wall Street or Washington, D.C., and not even in the hands of business owners. As we moved forward, the financial landscape would be defined by a group of university professors on whose doors the finance professionals had finally come knocking. From their ivory towers, they now became the new high priests of modern finance.

Buffett on Risk and Diversification

Now let’s return to Warren Buffett. He had started an investment partnership with a few thousand dollars and turned that into \$25 million. With the profits from his investment partnership, he had taken control of Berkshire Hathaway and was quickly heading toward a net worth that would soon exceed \$1 billion. In all those 25 years, he had given little or no thought to the covariance of stocks, strategies to reduce the variability of a portfolio return, or—heaven forbid—the idea that the stock market was efficiently priced. Buffett did think deeply about the concept of risk, but his interpretation was far removed from what academicians were now saying about risk.